

First Read

Community Health Systems

4Q16 EBITDA Comes in Ahead of Expectations; Guidance Brackets Consensus

4Q Well Ahead; 2017 EBITDA Outlook Brackets Consensus

CYH reported 4Q16 adj EBITDA at \$564 mln, was \$25/\$34 mln above UBSe/Cons and was up from \$527 mln a year ago. Relative to UBSe, the EBITDA beat was driven by better than expected net revs & other OpEx. Supply and SW&B exp were in line. 4Q16 adj EPS at \$0.46 was \$0.33 ahead of cons driven by a favorable tax rate and lower than expected minority interest exp. Q4 revs were \$4.47 bln, down 6.9% Y/Y but \$76/\$82 mln ahead of UBSe/Cons. 4Q SS adj admits declined 1.4% Y/Y (vs UBSe of flat); SS inpt admits declined 1.4% Y/Y (vs UBSe: -2.0%). SS pricing increased 1.9% Y/Y in 4Q (vs UBSe: +1.0%). CYH updated its divestiture plans and provided a 2017 outlook bracketing current cons on EBITDA (see details below).

CYH Updates Portfolio Rationalization Plan

CYH now expects to conclude 10 divestiture transactions with 25 hospitals (up from 20 hospitals disclosed in early Jan) and the Home Care Division which combined represent annualized rev in the \$3.0 bln range and carry mid-single digit margins. CYH expects proceeds of \$1.8 bln (\$1.5 bln excluding working capital), implying CYH is getting ~10x EBITDA on these transactions. CYH currently has definitive agreements in place for 15 of these hospitals (\$915 mln of proceeds including working capital, \$1.825 bln rev). Further, the company expects to sell an additional 4-6 hospitals in 3Q17 (4-5% of 2016 net revs with mid-single digit margins).

2017 Outlook Details; 1Q17 to Be Sequentially Flat to Slightly Down from 4Q16

2017 EBITDA outlook of \$2.0-\$2.175 bln brackets UBSe/cons of \$2.1 bln. 2017 net revs outlook of \$15.8-\$16.2 bln came in below UBSe of \$16.5 bln primarily due to the additional divestitures reflected in CYH's outlook. The EPS outlook of \$0.30-\$1.10 also brackets UBSe/Cons of \$0.54/\$0.59. SS adj admits are proj to be flat to up 1.5%, vs down 0.5% in 2016. The 2017 EBITDA outlook assumes a \$40 mln benefit from improved pricing/vol/acuity, \$25 mln physician practice improvements, and \$70 mln Y/Y improvement from expense management. A significant portion of Y/Y physician practice improvement and exp mgmt was already achieved as CYH exited 2016.

Valuation: Neutral Rating, Price Target of \$7.50

Our price target of \$7.50 assumes CYH trades at 7.0x our 2018 EBITDA estimate.

Equities

Americas
Healthcare Providers

12-month rating **Neutral ***

12m price target **US\$7.50**

Price **US\$6.90**

RIC: CYH.N BBG: CYH US

Trading data and key metrics

52-wk range	US\$20.84-4.66
Market cap.	US\$0.79bn
Shares o/s	115m (COM)
Free float	97%
Avg. daily volume ('000)	698
Avg. daily value (m)	US\$4.3
Common s/h equity (12/16E)	US\$1.80bn
P/BV (12/16E)	0.4x
Net debt / EBITDA (12/16E)	6.9x

EPS (UBS, diluted) (US\$)

	12/16E	
	UBS	Cons.
Q1	0.27	0.27
Q2	0.09	0.09
Q3	(0.35)	(0.35)
Q4E	(0.06)	0.13
12/16E	(0.05)	0.07
12/17E	0.54	0.61
12/18E	0.96	1.11

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Highlights (US\$m)	12/13	12/14	12/15	12/16E	12/17E	12/18E	12/19E	12/20E
Revenues	15,078	21,635	22,564	21,201	19,075	19,402	19,941	20,494
EBIT (UBS)	1,044	1,666	1,669	1,100	1,144	1,215	1,311	1,439
Net earnings (UBS)	216	369	372	(6)	61	110	162	233
EPS (UBS, diluted) (US\$)	2.31	3.27	3.23	(0.05)	0.54	0.96	1.39	1.98
DPS (US\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	(9,453)	(16,916)	(17,051)	(15,222)	(13,982)	(13,632)	(13,482)	(13,332)
Profitability/valuation	12/13	12/14	12/15	12/16E	12/17E	12/18E	12/19E	12/20E
EBIT margin %	6.9	7.7	7.4	5.2	6.0	6.3	6.6	7.0
ROIC (EBIT) %	8.1	9.7	7.7	5.6	6.7	7.4	8.1	8.8
EV/EBITDA (core) x	7.1	6.4	7.8	7.6	7.0	6.3	5.9	5.5
P/E (UBS, diluted) x	18.5	14.0	14.8	NM	12.8	7.2	5.0	3.5
Equity FCF (UBS) yield %	12.1	14.8	(0.6)	56.6	51.0	42.4	45.5	52.1
Net dividend yield %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, Thomson Reuters, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$6.90 on 17 Feb 2017 19:37 EST

Forecast returns

Forecast price appreciation	+8.7%
Forecast dividend yield	0.0%
Forecast stock return	+8.7%
Market return assumption	6.2%
Forecast excess return	+2.5%

Valuation Method and Risk Statement

CYH's portfolio has concentrations in Texas, Pennsylvania, and Alabama, making it particularly exposed to changes in these specific markets over time. CYH is a leveraged company. To the extent the credit markets deteriorate, it could affect its ability to pursue its growth initiatives going forward.

Our PT of \$7.50 assumes CYH trades at 7.0x our 2018 EBITDA estimate.

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Buy	FSR is > 6% above the MRA.	45%	29%
Neutral	FSR is between -6% and 6% of the MRA.	39%	27%
Sell	FSR is > 6% below the MRA.	15%	16%
Short-Term Rating	Definition	Coverage ³	IB Services ⁴
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2016.

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Company Name	Reuters	12-month rating	Short-term rating	Price	Price date
Community Health Systems ^{4, 6, 7, 16, 20}	CYH.N	Neutral (CBE)	N/A	US\$6.90	17 Feb 2017

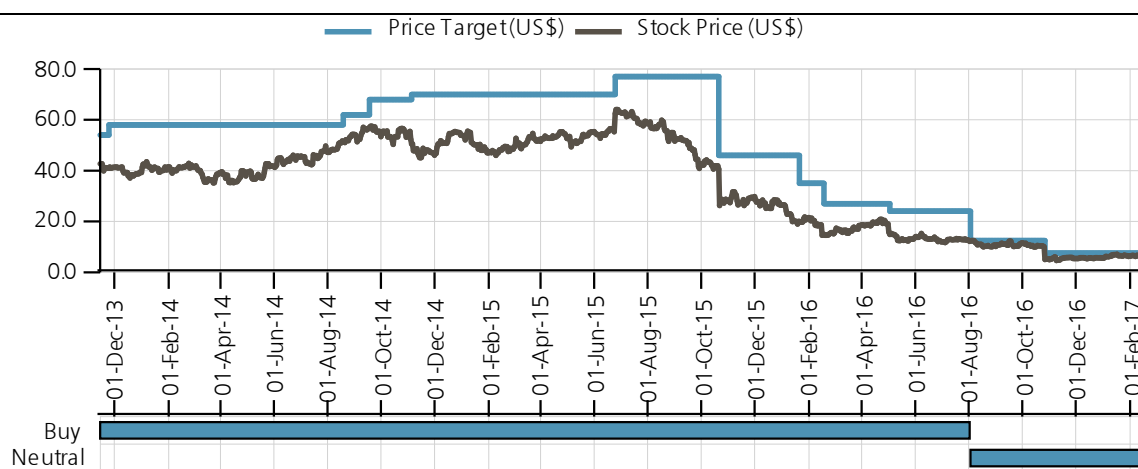
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Community Health Systems (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2013-11-15	42.71	54.0	Buy
2013-11-25	40.96	58.0	Buy
2014-08-19	51.4	62.0	Buy
2014-09-18	56.8	68.0	Buy
2014-11-05	50.5	70.0	Buy
2015-06-25	62.45	77.0	Buy
2015-10-21	40.55	46.0	Buy
2016-01-21	20.05	35.0	Buy
2016-02-18	14.99	27.0	Buy
2016-05-03	14.87	24.0	Buy
2016-08-03	12.39	12.5	Neutral
2016-10-27	5.05	7.5	Neutral

Source: UBS; as of 17 Feb 2017

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